BlackRock Inc. (BLK): Strong organic growth and bullish margin outlook paves the way for P/E re-rating; Reiterate Buy

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Following 2Q26 results, we raise our 2026E-28E EPS to $55.54/$64.37/$75.05 from $53.97/$62.70/$72.45 on the back of a higher organic growth outlook and constructive margin commentary, which should be supportive of a positive EPS revision cycle for the stock with ample runway for the multiple to mean-revert to historical ~20X. Specifically, BLK continues to deliver above-target organic base fee growth — 8% in 2Q26 / 10% LTM, with management noting recent trends are likely to be sustainable, supported by: **1)** broadening growth in the ETF business, including momentum in Active and Precision ETFs, **2)** runway for >10% FPAUM growth in private markets (driven by demand and activity across Private Credit and Infrastructure, with tailwinds from Insurance and financing the AI boom), and **3)** continued growth in higher-fee systematic and tax aware products. Importantly, management also struck a constructive tone on margins (an issue for investors since GIP/HPS deals), pointing to a structurally higher margin trajectory from a mix shift into higher-margin private markets, systematic, and technology. Moreover, BLK reiterated that current ~46% margins are not a ceiling relative to the ~47% achieved in 2021 when BLK was less scaled in its higher margin businesses. We see a path to >48% margins in 2028E (Visible Alpha Consensus Data is <47%). All in, **we believe BLK will generate mid-teens EPS growth over the coming years assuming a normal markets backdrop and expect positive EPS revisions for 2026/2027 to clear the path for the stock to re-rate closer to its historical averages. With the stock currently trading at ~19X NTM P/E (~9% discount to SPX, relative to slightly below historically) and the organic revenue growth momentum sustaining over the coming year, we believe that current valuation leaves an attractive risk/reward - our PT goes to $1,389 from $1,353 based on a 20X Q5-Q8 P/E, implying 27% upside**. *More details within.*

Key notables from earnings include:

- **Organic base fee growth:** BLK generated 8% organic base fee growth during 2Q26 with ~$200bn of net inflows (and 10% over the LTM), driven by a breadth of net inflows across ETFs, systematic/tax aware products, and private markets. Management sees above target organic base fee growth as sustainable moving forward as it leans into higher fee products with structural growth and whole portfolio relationships. On structural growers, management sees strength across its ETF franchise, model portfolios, tax aware, and systematic strategies as the main drivers of organic fee growth. BLK also spoke to taking share in whole portfolio relationships as investors consolidate business with fewer providers, a trend we have seen over the last several years. Overall, we expect organic base fee growth to be in the 7%-8% range over the next few years.

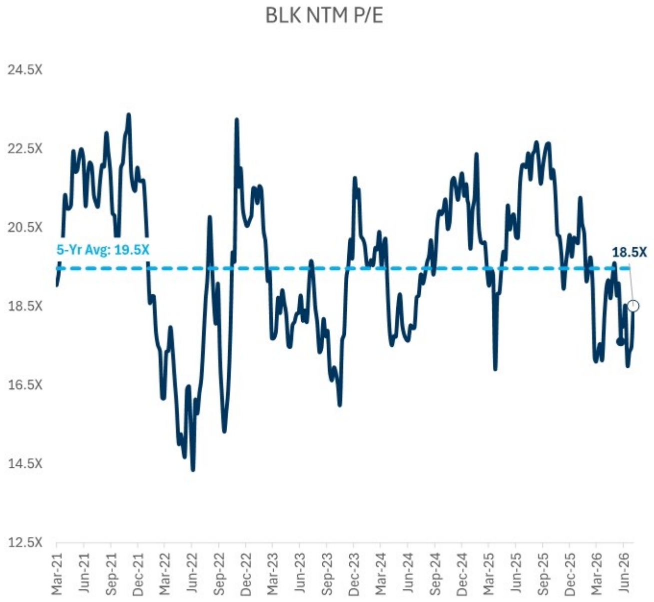
- **iShares:** iShares remained the standout this quarter, generating $178bn of inflows. Flows were led by Core Equity ($85bn) and Index bond ETFs ($61bn), but is increasingly seeing strong flows towards higher fee categories - Active ETFs saw $20bn of inflows in the quarter, while precision exposure ETF contributed $15bn of inflows. The franchise is also increasingly expanding globally with European iShares at $80bn of YTD inflows ($1.5tn of AUM) aided by a structural shift of European retail investors moving away from bank savings towards capital markets via ETFs. Management also framed tokenization as a further organic growth opportunity, granting iShares a new distribution channel into the >$2tn of assets in digital wallets. Overall, we see strength in iShares underpinning BLK's 7%-8% organic base fee growth over the next few years.
    - **ETF platform/distribution fees:** Management addressed recent industry news (Merrill Lynch revenue-sharing increases and SCHW platform fees on ETFs), noting BLK will not pay platform fees on its Index ETFs and that they haven't been approached by any major US distribution platform on this topic. That said, BLK did acknowledge that Active ETFs could see platform fees implemented though noted the economics are not meaningfully different for mutual funds.
- **Systematic/Tax Aware:** BLK spoke to robust demand for its systematic and tax-aware strategies which together generated $27bn of net inflows in the quarter. Management sees demand accelerating for these strategies as investors look for strategies that allocate across factor and signals to generate alpha. Majority of BLK's systematic products sit within Active Equities which has turned organic growth positive in recent quarters, while newer areas like systematic active ETFs and its global equity market neutral fund are further supporting organic growth in its iShares and Liquid Alts franchises. BLK has also seen robust growth for its tax-aware strategies at Aperio and SpiderRock with AUM at ~$210bn, up 4X over the last 5 years. At Aperio, while historically focused around its direct indexing strategy, BLK has seen accelerating flows into its long-short product with 2Q Aperio flows of $7bn evenly split between its direct indexing and long/short products. Overall, management sees the usage of tax-optimized strategies in early stages and expects to see continued structural growth as clients focus on after-tax returns.
- **Private Markets:** BLK is seeing continued strength in Private Markets with $15bn of inflows in the quarter, driven by $6bn of private credit deployment, $5bn of infrastructure activity (a mix of fundraising and deployment in infra debt), and a $3bn partial funding of a PE outsourcing solution mandate. BLK reiterated its Investor Day target of $400bn in gross fundraising through 2030 (currently at $22bn). Management spoke to the robust opportunity it has in the insurance channel as insurance clients increasingly look to access private markets to achieve higher yields (~150bps-350bps over treasuries) in exchange for illiquidity. With ~$800bn of Insurance AUM, BLK sees an

opportunity to rotate 5%-10% of that capital to private markets, providing a meaningful lift to fees. To capture some this rotation, management noted its deepening the integration of GIP and HPS on the origination side, collaborating on large-scale financings (particularly in digital infrastructure) it can originate and pass on to insurance clients (though not limited to insurance clients). Management noted private credit demand remains robust given wider spreads while infrastructure demand is in the early stages of a multi-year cycle driven by the hyperscalers transition from balance sheet light to balance sheet heavy models which require a substantial amount of debt (and to a lesser equity) to build out data center and digital infrastructure. On fundraising, BLK is in the market with its legacy infra flagship (prior vintage $7bn) and its EM infra flagship (prior vintage $2bn), with the next vintage of the GIP flagship (prior vintage $20bn) expected to have a first close by late 2026/early 2027.

  - **Fee Rate:** Private Markets fees were down 3% driven by a ~4bps q/q decline in the fee rate. BLK noted the decline in the fee rate was driven by realizations within Infra equity early in the quarter and timing of flows toward the back half of the quarter. Looking ahead, BLK sees 80-81bps as the right jumping off point for 3Q. We expect a Private Markets fee rate of 80.9bps in 3Q, before gradually building as the Infra flagships hold closes (which will also come with catch up fees) and HPS Wealth vehicles return flow positive.

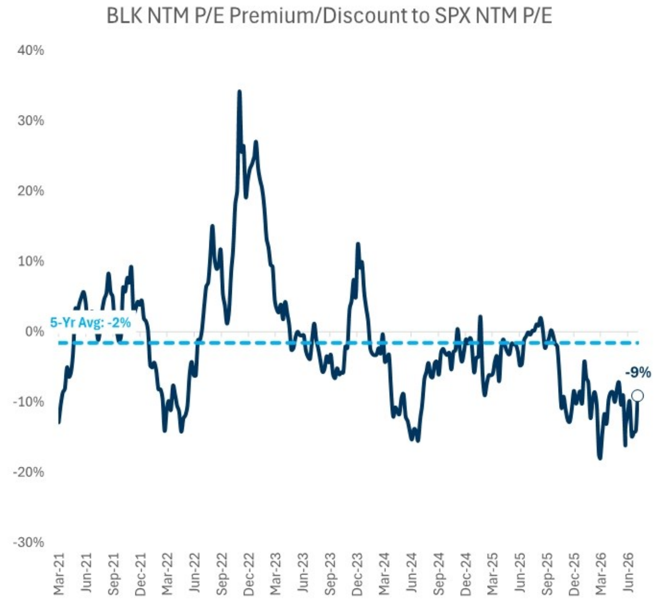
- **Margin outlook:** BLK delivered a strong quarter on profitability, posting an operating margin of 45.9% (46.5% ex. performance fees), its highest level since 2021 driven by solid comp leverage. On the forward, management struck a constructive tone on margins highlighting a structurally higher margin profile given the mix of business toward higher-margin, structural growth business like Private markets, Active and Precision ETFs, Systematic strategies, SMAs/models, and technology. BLK also noted that its 2030 target of >30% of revenue coming from Private Markets and Tech should mitigate market sensitivity and led to sustainable double-digit EPS growth. Management was explicit that this quarter's ~46% margin is not a ceiling, noting BLK ran at a ~47% margin back in 2021 without the current scale of its Private Markets, systematic, and SMA capabilities. Overall, management sees the biggest components of margin expansion are **1)** driving FRE margins (margins excluding performance fees) toward Alt managers' levels (Public Alts avg. FRE margins are ~55%), and **2)** higher fee rates on flows combined with strong organic growth and tech-driven operating leverage. We see a path for BLK to deliver ~48% operating margins by 2028 (and ~50% margin ex. performance fees), implying ~150bps of margin expansion annually on average.
  - **2026:** While G&A came above expectations, BLK re-affirmed its MSD % growth target (after annualizing 2H25) which implies ~$2.8bn of G&A for FY26. Within this, BLK expects G&A to be roughly flat for the next two quarters. On the comp rate ex. performance fees, BLK expects it to be in the ~32% range for 2026 (though we could see room for upside if markets remain supportive).

Exhibit 1: BLK is trading ~18.5X NTM P/E, 5% below its historical average...



Source: Company data, Goldman Sachs Global Investment Research, FactSet

Exhibit 2: ...though it's trading at a ~9% discount to SPX which has historically traded slightly below SPX levels



Source: Company data, FactSet, Goldman Sachs Global Investment Research

Exhibit 3: Based on historical levels, BLK implied multiple should be ~20X

BLK Current Multiple vs. Historical Levels				
	Current	Historical	Discount vs. Hist.	Implied
NTM	18.5X	19.5X	-5%	19.5X
Discount to SPX	-9%	-2%	-8%	20.0X
Discount to SPX EW	14%	21%	-7%	19.7X

Source: Company data, FactSet, Goldman Sachs Global Investment Research

EPS Revisions: Following 2Q26 results, we raise our 2026E-28E EPS to $55.54/$64.37/$75.05 from $53.97/$62.70/$72.45 on the back of a stronger organic growth and margin outlook.

Price Target and Valuation: We remain Buy rated on BLK and revise our 12-month PT to $1,389 from $1,353 based on a 20X Q5-Q8 P/E (unchanged). This implies 27% upside from current levels.

Risks: Downside: Higher Expenses, weaker equity markets.

BLK	12m Price Target: **$1,389.00**	Price: **$1,093.40**	Upside: **27.0%**

Buy

Market cap: $179.1bn
Enterprise value: $161.2bn
3m ADTV: $757.4mn
United States
Americas Asset Managers & Capital Markets
M&A Rank: 3

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue ($ mn) New	**24,216.0**	**29,439.3**	**33,756.5**	**37,897.7**
Revenue ($ mn) Old	24,216.0	29,212.8	33,214.7	37,093.0
EBIT ($ mn)	9,600.0	12,104.0	14,313.1	16,611.1
EPS ($) New	**48.05**	**55.54**	**64.37**	**75.05**
EPS ($) Old	48.05	53.97	62.70	72.45
P/E (X)	21.6	19.7	17.0	14.6
Dividend yield (%)	2.0	2.1	2.3	2.5
ROE (%)	14.9	15.5	16.5	16.6
AuM ($ mn)	13,463,648.0	13,896,067.0	18,097,806.4	18,097,806.4

	3/26	6/26E	9/26E	12/26E
EPS ($)	12.53	13.91	14.02	15.08

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 15 Jul 2026 close.

Disclosure Appendix

Reg AC

We, Alexander Blostein, CFA, Anthony Corbin, Aditya Sharma, CFA, Michael Vinci and Vaasu Gupta, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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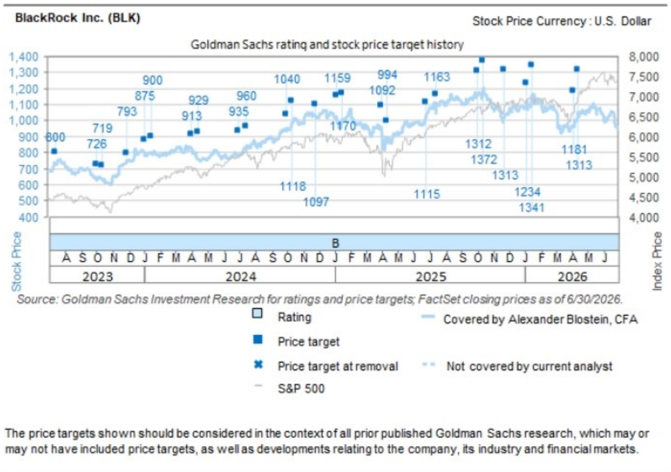

Target price history table(s)

BlackRock Inc. (BLK)

Date of report	Target price ($)	Closing price ($)
15-Jul-26	1,353.00	1,093.40
15-Apr-26	1,313.00	1,048.60
06-Apr-26	1,181.00	959.41
15-Jan-26	1,341.00	1,156.65
05-Jan-26	1,234.00	1,119.76
25-Nov-25	1,313.00	1,029.77
15-Oct-25	1,372.00	1,202.59
03-Oct-25	1,312.00	1,160.69
16-Jul-25	1,163.00	1,082.24
26-Jun-25	1,115.00	1,030.79
11-Apr-25	994.00	878.78
02-Apr-25	1,092.00	961.84
15-Jan-25	1,170.00	1,013.18
06-Jan-25	1,159.00	1,012.74
27-Nov-24	1,097.00	1,019.45
11-Oct-24	1,118.00	990.26
30-Sep-24	1,040.00	949.51
15-Jul-24	960.00	822.96
01-Jul-24	935.00	782.27
14-Apr-24	929.00	763.40
01-Apr-24	913.00	826.77
16-Jan-24	900.00	791.38
02-Jan-24	875.00	800.30
30-Nov-23	793.00	751.23
13-Oct-23	719.00	627.66
02-Oct-23	726.00	643.04

Price targets shown in table(s) are unadjusted for corporate actions.

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